

The Multiple Broke, Not the Engine Pausing with HOLD

Equity Research Note · Technology — Advertising Technology · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
HOLD	\$335	\$268.22 Oct 2, 2026	+24.9%	High Beta 2.50

Snapshot			
Market cap	~\$82.0 bn	Shares outstanding	~306 mn
Enterprise value	~\$82.5 bn	52-week range	\$268.22 – \$745.61
Net debt	~\$0.46 bn (0.1x EBITDA)	YTD / 1-yr return	–60.2% / –61.9%
2026E revenue (cons.)	~\$8.01 bn (+46%)	2026E adj. EPS (cons.)	~\$15.6
Q2'26 revenue	\$1,924 mn (+53%)	Q2'26 adj. EBITDA margin	83.9%
Next catalyst	Q3'26 earnings, Nov 4	Analyst consensus	Buy / Moderate Buy; avg PT ~\$500

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from AppLovin's SEC filings and earnings releases, its public product materials, and reputable financial press as of October 4, 2026. Projections and the price target are the author's estimates.

1 Investment Thesis

AppLovin is an AI advertising engine that began in mobile gaming and is now opening the same models to e-commerce and web advertisers. The financial profile is rare: **mid-50s revenue growth, mid-80s adjusted EBITDA margins, and free-cash-flow conversion near 90%** funding an aggressive buyback. The stock has been cut 64% from its \$745 peak (December 2025) because Q2 2026 missed the company's own revenue guide by less than 1% while sequential growth slowed on a delayed model release. That was a **multiple reset, not a broken engine** — but fresh adverse evidence since has changed the risk calculus.

Our reverse-DCF shows the market now prices roughly **9.2% annual revenue growth for ten years** — against management's stated ~30% long-term compounding expectation and 23% consensus growth for FY26–27. The company just printed 53% YoY growth with 84% EBITDA margins. The gap between price-implied pessimism and visible fundamentals is real — but it is no longer, on its own, the opportunity.

Our hardened probability-weighted DCF (bear/base/bull: \$109 / \$323 / \$577, weighted \$333) implies +24% expected value at \$268.22 — which would normally be a BUY. **We are departing from the model's verdict, and here is the written justification.** Since the inputs were set, four pieces of fresh adverse evidence arrived: Unity's TRO against AppLovin was **denied** (MAX take-rate pressure is now a live legal front), Wells Fargo called the e-commerce ramp a **"false start"**, a **Pomerantz class action** was filed, and the stock printed a **9-day losing streak** into new lows. A 25% bear weight cannot paper over a –59% bear drawdown at beta 2.5. The +24% expected value no longer compensates for a live, widening left tail. **HOLD, High risk** — Q3 (November 4) must adjudicate whether the left tail is real. **Falsification, in writing:** reaccelerated growth + real e-commerce traction + no take-rate erosion → BUY; sub-30% growth for two quarters or quantified take-rate compression → REDUCE.

Why own it

A rare financial profile at a reset multiple. 53% revenue growth, 83.9% adjusted EBITDA margin, ~88% FCF conversion, net leverage 0.1x — now at ~17x FY26E earnings and ~12x FY26E EBITDA. A growth stock priced like a value stock.

AXON is a genuine compounding engine, and Q2 proved the mechanism, not the failure. Revenue missed by <1% because a model upgrade landed weeks late; advertiser demand did not weaken. When models improve, advertisers profitably spend more at target ROAS and budgets step up — growth arrives in R&D-driven steps.

Two expansion vectors beyond gaming. E-commerce/web advertiser spend ran 28% above the Q4'25 seasonal peak, self-serve Axon Ads Manager opened publicly in Q2, and Wurl extends the platform to connected TV. Gaming is still ~80% of revenue — the diversification is early, which is why the upside is not priced.

Relentless capital return. 22.8% of shares retired cumulatively, \$1.55B bought back in H1 2026 alone, ~\$1.8B of authorization remaining — a ~5–7% annual per-share compounding tailwind at this pace.

Overhangs are mutating, not clearing. The SEC inquiry closed with no recommended action — but a fresh Pomerantz class action (filed October 2026, alleging AI-capability misstatements) is now live, and Unity's denied TRO has opened a take-rate legal front. The old securities class action (Feb–Aug 2026 class period) was unproven plaintiffs'-firm fare; the new filings are not background noise.

Why the market is nervous — and what we watch

Growth is lumpy and model-dependent. Q2 proved revenue arrives in R&D steps — a delayed release means a missed quarter, and this stock trades on quarterly beats.

Competitive pressure is the live debate — and it just got sharper. Edgewater's channel checks warn Unity is pressuring share; Unity's TRO against AppLovin was denied in early October, which opens a MAX take-rate legal front rather than closing it.

E-commerce: Wells Fargo says “false start.” The self-serve Axon Ads Manager is real and spend is 28% above the Q4’25 peak, but Wells Fargo’s October call argues the e-commerce ramp is not yet real — Q3 must show advertiser-count and mix disclosures that prove otherwise.

Gaming concentration (~80%). The e-commerce vector is real but early; a mobile-gaming ad downturn hits directly.

Whale-free but platform-dependent. No single-customer risk like some SaaS peers, but Apple/Google OS policy remains a structural tail risk.

2 Business Overview — What the Company Is Doing

AppLovin (founded 2012, Palo Alto; IPO April 2021) is a marketing platform whose mission is to make profitable growth accessible to every business. On **June 30, 2025**, it completed the sale of its mobile-gaming Apps business — 10 studios including Machine Zone, Belka Games and PeopleFun — to Tripledot Studios for **\$400M in cash plus ~20% of Tripledot’s equity**. The Apps results are now discontinued operations, and AppLovin reports as a **single operating segment**: a pure-play, high-margin AI advertising platform.

The company operates a vertically integrated ad-tech stack — both a demand-side platform (DSP) for advertisers and a supply-side platform (SSP) for publishers — taking a cut of the billions in mobile ad spend flowing through its systems. Scale is extraordinary for the headcount: **898 employees** generating an expected ~\$8B of 2026 revenue — roughly \$9M per head — because the AXON engine scales on compute, not people. In Q4 2025, revenue grew 66% while operating costs rose only ~3%.

What the company is doing right now

Compounding the core AXON models. Continuous reinforcement-learning upgrades to ad matching; each improvement lets advertisers profitably raise budgets at fixed ROAS targets — the single biggest historical growth driver.

Opening to e-commerce and web advertisers. The rebranded Axon Ads Manager launched publicly in Q2 2026, courting mid-market advertisers first; consumer-advertiser spend finished Q2 28% above the Q4’25 seasonal peak.

Building generative-AI creative. AI-generated video creative tooling is in development (its delay contributed to the Q2 timing miss) — creative has historically been the binding constraint on advertiser scale.

Extending to connected TV via Wurl. The aim is to turn CTV from a brand-awareness channel into a performance channel with conversion-based measurement, replicating the mobile playbook.

Returning capital aggressively. \$2.58B repurchased in 2025, \$1.55B in H1 2026, authorization topped up by \$3.2B in October 2025.

Sharpening governance. Co-founder Adam Foroughi remains CEO; Craig Billings transitioned to independent Chair in 2026 and ex-eBay COO Maynard Webb joined the board (April 2025) to guide the e-commerce expansion.

3 Product Evaluation & Pricing Models

AppLovin monetizes on three complementary axes — **performance-based demand fees, supply-side mediation economics, and SaaS measurement subscriptions** — unified by the AXON data loop. The structure is the moat: every transaction on either side of the marketplace trains the models that improve the other side.

Product	Pricing model	How it monetizes	Assessment
AppDiscovery DSP — ~80% of ad revenue	Performance-based d ROAS-tied	Advertisers set target ROAS / CPI goals; AXON 2.0 bids and optimizes in real time. AppLovin earns its margin on intermediated spend that clears above publisher payouts.	The crown jewel. Pricing aligns incentives perfectly — AppLovin only scales when advertisers profit. Reinforces the flywheel.
AXON 2.0 AI engine	Embedded in AppDiscovery	Reinforcement-learning models predict user value from first-party and contextual signals; improvements flow directly into higher clearing ROAS and budget step-ups.	The R&D asset behind the multiple. Moat is model performance — must be re-earned each release.
MAX SSP — ~60% mediation share	Mediation / auction economics	Publishers auction inventory via real-time header bidding; MAX takes its economics on the supply side while feeding AXON unmatched bid-stream data.	Defensive moat and data asset in one. Market-leading share entrenches the bid-stream advantage.
Adjust Measurement	SaaS subscription tiered by volume	Attribution and analytics suite; advertisers pay recurring fees scaled to app portfolio and event volume.	Closes the loop: measurement proves ROAS, which justifies more AppDiscovery spend.
Axon Ads Manager Self-serve	Self-serve performance	Opened publicly Q2 2026; mid-market first. Lowers the onboarding bar for non-gaming advertisers.	The distribution unlock for e-commerce. Early — watch advertiser-count disclosures.
Wurl Connected TV	CTV performance (developing)	Brings performance-based buying and conversion tracking to streaming TV inventory.	Option value. Turns a brand channel into an AppLovin-shaped performance channel.

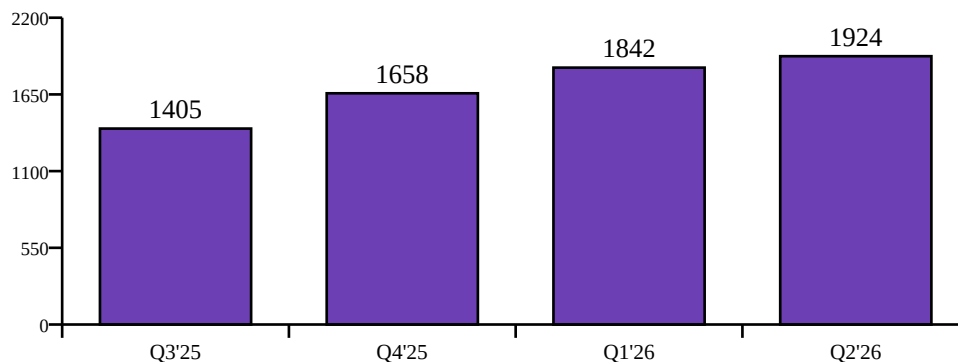
Net assessment: the pricing architecture is **incentive-aligned by construction** — AppLovin grows when its advertisers' ROAS grows, which is why model improvements translate so directly into revenue step-ups. The vulnerability is symmetric: when the models stall for a quarter, as in Q2 2026, there is no contractual revenue floor to cushion the print.

4 Financial Analysis

Continuing operations throughout (Apps business shown as discontinued since the June 2025 Tripledote sale). The trajectory is relentless: revenue compounded from \$3.2B (2024) to an expected ~\$8.0B (2026E) while adjusted EBITDA margins expanded from 75% to ~84% — software economics with a growth rate no mature software company matches.

\$ mn (cont. ops)	FY24	FY25	H1'26	Q2'26	FY26E
Revenue	3,224	5,481	3,766	1,924	~8,009
YoY growth	—	+70%	+56%	+53%	+46%
Adj. EBITDA	2,412	4,512	3,171	1,614	~6,723
Adj. EBITDA margin	74.8%	82.3%	84.2%	83.9%	~84%
Free cash flow	2,073	3,952	2,153	863	~5,600
Net income (cont.)	1,590	3,433	2,472	1,267	—
Diluted EPS	—	—	—	\$3.76	~\$15.6

Quarterly revenue (\$ mn) — continuing operations



Margins: software's endgame

Adjusted EBITDA margins have expanded from 74.8% (2024) to ~84% (H1 2026) as AXON-driven revenue scaled against a near-fixed cost base. Net income margins from continuing operations reached 63% in FY25. SBC is modest for a company of this profile (~\$130M in 9M'25), and capex is negligible — the business converts ~88% of EBITDA into free cash flow (FY25: \$3.95B on \$4.51B EBITDA). The Q2 FCF dip to \$863M was flagged as international cash-tax and interest-payment timing, not deterioration.

Balance sheet and capital return

Cash \$3.05B against \$3.7B of debt — net leverage of ~0.1x TTM adjusted EBITDA, effectively an unlevered balance sheet. The capital return program is the quiet compounder: **22.8% of shares outstanding have been retired cumulatively**, including \$2.58B in 2025 (6.4M shares) and \$1.55B in H1 2026 (3.3M shares), with ~\$1.8B of authorization remaining. At current prices that funds another ~6% of the float.

Guidance (Aug 2026): Q3 revenue \$2.055–2.085B (+46–48% YoY) with adjusted EBITDA \$1.71–1.74B (~83% margin) — counting only model improvements already live, with management noting Q3 started strong. Consensus FY26: revenue ~\$8.01B, EBITDA ~\$6.72B, EPS ~\$15.6; FY27: revenue ~\$9.85B, EBITDA ~\$8.20B, EPS ~\$18.23 (recently trimmed on slower non-gaming assumptions).

Watch items: accounts receivable grew 42% to \$1.8B in FY25 — slower than revenue but worth monitoring for payment-term stretch; \$189M of goodwill impairments were taken in FY25.

5 Moat & Growth Drivers

The moat

Two-sided data flywheel. MAX's supply footprint generates an unmatched mobile bid-stream; AppDiscovery's demand trains AXON on outcomes; Adjust's measurement proves ROAS. Each side strengthens the other — more supply improves model training, better models attract more spend, more spend attracts more supply.

Post-ATT signal advantage. Apple's privacy changes destroyed third-party tracking and made first-party/contextual modeling the scarce asset. AXON 2.0's reinforcement-learning architecture was built for exactly this world — AppLovin + AdMob now take 65% of global mobile-game ad revenue.

Scale in AI compute. Training ever-larger bidding models is a fixed-cost arms race; AppLovin's \$5B+ FCF run-rate funds a compute budget smaller rivals cannot match.

Performance-pricing alignment. Because advertisers pay against ROAS targets, AppLovin's take grows only when customers profit — the rare ad-tech model with no incentive to degrade inventory quality.

Mediation entrenchment. ~60% share of mobile mediation makes MAX the default plumbing; displacement would require publishers to re-plumb monetization for uncertain gains.

Honest limits: this is a **model-performance moat, not a contractual one**. It must be re-earned with every AXON release cycle, and advertisers can reallocate budgets in weeks if a competitor's ROAS prints higher. The moat is wide today precisely because the R&D cadence has been relentless — the investment case stands or falls on that cadence continuing.

Growth drivers, ranked

1. **AXON model cadence** — the single biggest historical driver; each step-up in model quality unlocks advertiser budget increases at fixed ROAS.
2. **E-commerce / web advertiser onboarding** — self-serve Axon Ads Manager lowers acquisition cost per advertiser; spend already 28% above the Q4'25 peak.
3. **Generative-AI creative** — creative production has been the binding constraint on advertiser scale; AI video tooling in development.
4. **Connected TV via Wurl** — performance-based CTV is a new multi-billion impression pool.
5. **The buyback** — ~5–7% annual per-share compounding at the current pace and price.

6 Competition

AppLovin has effectively won the mobile mediation wars; the contest now moves up-market into general performance advertising, where the competitors are the largest ad platforms on earth.

Competitor	Arena	Assessment
Unity (U) ironSource / LevelPlay	Mobile ads + mediation	The weakened incumbent turned live threat: Edgewater's Sep 2026 channel checks flag share pressure, and Unity's October TRO against AppLovin was denied — opening a MAX take-rate legal front. The bear case to monitor, no longer to dismiss.
Google AdMob / Google Ads	Mobile + web / search	Co-dominant in mobile-game ad revenue (65% combined with APP). Android ownership is structural leverage; MAX's independence is AppLovin's counter.
Meta Advantage+	Social performance	The gold standard in social; AXON 2.0 is increasingly viewed as the gold standard in <i>in-app</i> performance. Different turf — until e-commerce budgets force overlap.
Moloco / Liftoff / Vungle	ML-native DSPs	The purest technological comps: ML-driven user-acquisition engines. Moloco in particular mirrors the AXON approach.
The Trade Desk / Magnite	CTV / open internet	CTV incumbents as Wurl pushes AppLovin into television. Different buying motion (brand vs performance) — for now.
Amazon	Retail media / e-commerce	The endgame competitor as AppLovin courts e-commerce advertisers: Amazon owns the transaction data AppLovin must model around.

Net: AppLovin dominates its home turf and is attacking up-market, which means competitive intensity *rises* with success. The current valuation prices in competitive deterioration that has not yet shown up in the numbers — publisher earnings on MAX grew double digits QoQ in Q2 and management reported no demand weakness.

7 Valuation — Four Lenses

Lens 1 — Scenario DCF (free-cash-flow based, hardened v3)

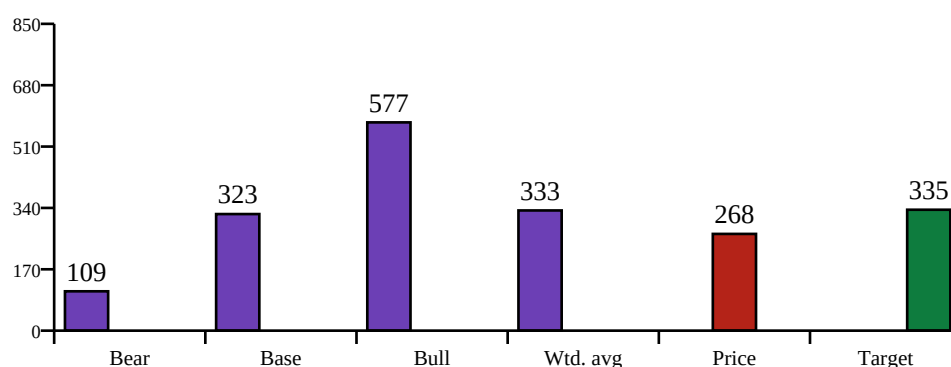
Ten-year explicit forecast off FY26E revenue of \$8.01B, FCF margins fading linearly (bear 62%→50%, base 66%→58%, bull 68%→62%), scenario-specific WACC of 14.5% / 12% / 10.5% for a beta-2.5 name, terminal growth 1.5% / 2.5% / 2.5% on normalized margins. Net debt \$0.46B; a \$0.5B placeholder for the 20% Tripledot equity stake (private, undisclosed — treated as unmodeled upside). 306M shares.

Scenario	Revenue path	FCF margin	WACC	Fair value
Bear	0.7% 10-yr CAGR	62%→50%	14.5%	\$109

Scenario	Revenue path	FCF margin	WACC	Fair value
Base	11.0% 10-yr CAGR	66%→58%	12%	\$323
Bull	15.5% 10-yr CAGR	68%→62%	10.5%	\$577
Probability-weighted (25/50/25)				\$333

The bear case is built to genuinely hurt: Unity takes share via MAX auctions, the AXON cadence stalls, and the e-commerce pixel proves a false start — revenue declines mid-decade and margins compress 1,200 bps. Terminal value is 26–56% of EV across scenarios (under the 70% discipline threshold), and the bear (\$109, –59%) sits well below the price. The DCF is discount-rate sensitive, which is why the scenario rates are stated, not hidden.

Scenario fair values vs. current price and target (\$)



Lens 2 — Reverse DCF: what is priced in?

At \$268, the market prices roughly **9.2% annual revenue growth for ten years** (on base-case economics: 66%→58% FCF margins, 12% WACC). Compare: management's stated long-term expectation is ~30% annual compounding; consensus has 23% for FY26–27; the company just printed 53%. The market is underwriting a near-total growth collapse that has no precedent in the company's post-AXON history. Either the market is right that the engine is spent — or the pessimism is the opportunity. The Q2 evidence (demand intact, timing-driven miss) supported the latter; the October evidence (Unity TRO denial, Wells Fargo's "false start," class action) is why we no longer act on it alone.

Lens 3 — Multiples

Multiple (EV ~\$82.5 bn)	TTM	FY26E	FY27E
EV / adj. EBITDA	14.4x	12.3x	10.1x
P / E	27.5x	17.2x	14.7x
P / FCF	—	~14.6x	—
PEG (vs ~30% LT growth)	—	0.57	0.49

A 50%+ earnings grower at 17x forward earnings and a 0.6 PEG is, on its face, mispriced. Target cross-checks: **22x FY27E EPS (\$18.23) → \$401; 15x FY27E EBITDA (\$8.20B) → \$402**. Both sit above our \$335 target — the market's pessimism is visible in the multiples too, but multiples don't adjudicate the left tail; the bear case does, and it is why we wait.

Lens 4 — The Street

Consensus is Buy / Moderate Buy with targets recently reset to a **\$450–\$530 cluster** (MarketBeat \$529, Stockopedia \$501; Morgan Stanley \$450 Overweight, Needham \$700, Jefferies \$700, Oppenheimer \$660). Notably, analysts cut targets ~19% while the stock fell ~40% — the market's repricing overshot the fundamental revision, which is typically where forward returns come from.

Synthesis → HOLD, \$335 target. The hardened DCF's probability-weighted \$333 and multiple-implied values (~\$402) bracket our \$335 target, implying +24.9% upside at ~18x FY27E earnings — full but fair for a 25–30%

grower with 84% margins, and well below the 40x+ multiples paid at the \$745 peak. On pure expected value that is a BUY; we depart from the model with a HOLD because the left tail is live and widening: a denied TRO, a “false start” call, a fresh class action, and a 9-day losing streak. A 25% bear weight cannot paper over a –59% bear drawdown at beta 2.5.

8 Risks, Catalysts & Recommendation

Key risks

Gaming concentration (~80% of revenue). The e-commerce vector is real but early; a mobile-gaming ad downturn or ROAS compression hits directly.

Lumpy, model-dependent growth. Revenue arrives in R&D steps — a delayed AXON release means a missed quarter, and the stock trades violently on quarterly beats and misses.

Competitive pressure — the live debate. Edgewater's Unity warning and its 8–9% Q4 sequential-growth estimate cannot be dismissed; watch Q4 for share-loss evidence.

Litigation overhang — now two-front. A fresh Pomerantz class action (filed October 2026, alleging AI-capability misstatements) joins the older securities class action (Feb–Aug 2026 class period, unproven). The SEC inquiry closed with no recommended action, but litigation now caps sentiment until resolved — and the denied Unity TRO adds a take-rate legal front.

Platform dependency. Apple/Google OS policy changes remain the structural tail risk for any mobile ad platform.

Balance-sheet nits. AR up 42% to \$1.8B (watch payment terms); \$189M goodwill impairment in FY25; rising AI-compute costs bear watching against the 84% margin.

Volatility. Beta 2.5, –64% peak-to-trough, a 9-day losing streak into new 52-week lows — position sizing must respect the ride.

Catalysts

Q3 earnings (November 4, 2026): the verdict on whether Q2 was timing — a beat on the \$2.07B guide midpoint with reaccelerated sequential growth re-rates the story.

AXON 3.0 / generative-AI creative launch: creative has been the binding constraint on advertiser scale; shipping it unlocks the next budget step-up.

E-commerce advertiser disclosures: scale metrics on Axon Ads Manager adoption and non-gaming spend mix.

Wurl / CTV progress: performance-based CTV is pure option value at the current price.

Continued buybacks: ~\$1.8B of authorization funds ~6% of the float at current prices.

What changes the call

Falsifiable, in writing. This HOLD is falsified by: reaccelerated growth + real e-commerce traction (advertiser-count and mix disclosures) + no take-rate erosion → **BUY**. Conversely: sub-30% growth for two quarters, or quantified take-rate compression on MAX → **REDUCE**. A second major adverse legal or regulatory development would force a full re-underwrite. Until Q3 (November 4) adjudicates, the +24% expected value does not compensate for the –59% left tail.

Recommendation

HOLD, \$335 twelve-month price target (+24.9% upside), High risk. The engine is still the best AI monetization machine in ad tech — but the left tail is no longer theoretical. Since this note's inputs were set: Unity's TRO was denied (MAX take-rate pressure is a live legal front), Wells Fargo called the e-commerce ramp a “false start,” a Pomerantz class action landed, and the stock printed a 9-day losing streak into new 52-week lows. Our hardened DCF says \$333 of expected value; our judgment says a 25% bear weight cannot paper over a –59% bear

drawdown at beta 2.5. Q3 (November 4) is the adjudicator: reaccelerated growth with real e-commerce traction and no take-rate erosion makes this a BUY; sub-30% growth or quantified take-rate compression makes it a REDUCE. Until then, we wait — and the \$335 target is where the model says fair value is.

This note is research analysis, not investment advice. Estimates are the author's; figures sourced from company filings, earnings materials, and market data as of October 4, 2026. Valuation models: `~/workspace/applovin-research/dcf_v3_hardened.py`.